

use, such as hedging against inflation or being used as a blockchain to host new software and apps. Investors in training understand that the only kinds of investments that last are those with intrinsic value, which can be measured by their real-world applications.

Alternative coins, on the other hand, are even more speculative than ETH and BTC and have even less real-world value. They may prove useful on a smaller scale, but the rule of thumb is that, if it doesn't make sense to you, it probably doesn't make sense for a reason and you should consider minimising your position in it. That rule of not investing in what you don't understand can be transferred here.

Alt coin pump and dumps

One of the main issues with alt coins is that they can be the perfect vehicle for pump and dump schemes. Let me explain what I mean. Imagine I was a scammer. I create an alt coin with an attractive name like rainbowcoin (there probably is a rainbow coin out there already) and commission a cute picture of a rainbow to be the coin's icon. I can convince two to three really wealthy investors to drop some money into that coin.

When they do this the price of the coin rises, so I can take this graph and convince everyday investors that this is an 'up-and-coming coin'. With social media, my reach for this type of content has never been easier. I don't have to cold call people to try and prey on them (this concept is called boiler rooms); instead I can post content on social media and Reddit forums to create hype.

Retail investors would see the rise of the coin due to the original investors, and then pour more money into it, raising the price higher. It would continue and even more people would invest as they kept watching the price get higher and higher.

Then my original wealthy investors and I would sell all of our coins. This would make us, the scammers, extremely wealthy and leave the everyday investors holding essentially worthless cryptocurrency.

This is a modern pump and dump scheme, with the 'pump' caused by retail investors pouring in their money and the 'dump' achieved by scammers who dump their coins at a high price, take their gains and move on. (Pump and dump schemes were how Jordan Belfort, the real-world Wolf of Wall